



THE KENYA CONSUMER PRICE INDEX AND INFLATION REPORT

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Overview

Annual inflation rate as measured by the Consumer Price Index (CPI) was 4.1 per cent in July 2025. This indicates that the general price level was 4.1 per cent higher in July 2025 than it was in July 2024. The increase in price was mainly driven by rise in prices of commodities in the Food and Non-Alcoholic Beverages Category (6.8%); Transport (4.1%) and Housing, Water, Electricity, Gas and other fuels (1.3%) over the one year period. These three major categories together account for over 57 per cent of the total weight across the 13 major expenditure categories. Additionally, Alcoholic Beverages, Tobacco and Narcotics recorded an inflation of 5.1 per cent in July 2025.

Consumer Price Index (CPI) is defined as a measure of the weighted aggregate change over time in retail prices paid by consumers for a given basket of goods and services. The CPI measures the cost of purchasing this fixed basket of goods and services, comparing current prices to those of a base period, which for the current CPI, is February 2019. Inflation rate is defined as a percentage change of the CPI between two periods. There are different inflation rates that can be computed such as annual (year-on-year), quarterly (quarter-to-quarter) and monthly (month-on-month) inflation rates. Data used to derive the inflation rates is collected through a monthly survey of retail prices from a statistically representative sample of outlets in urban areas across 50 data collection zones nationwide. The survey is conducted during the second and third weeks of every month.

The Overall CPI and Inflation Trends, July 2024~July 2025

As presented in Figure 1 and Figure 2, the overall index increased from 145.58 in June 2025 to 145.74 in July 2025, resulting in a monthly inflation of 0.1 per cent.

Figure 1: Overall CPI

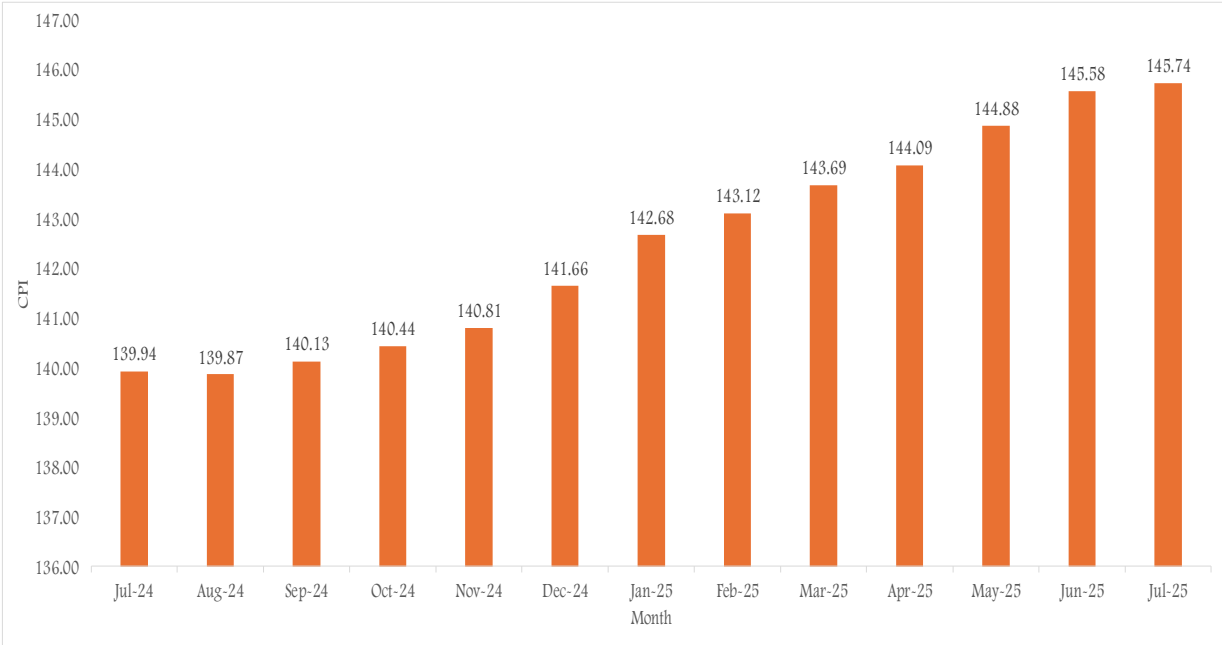
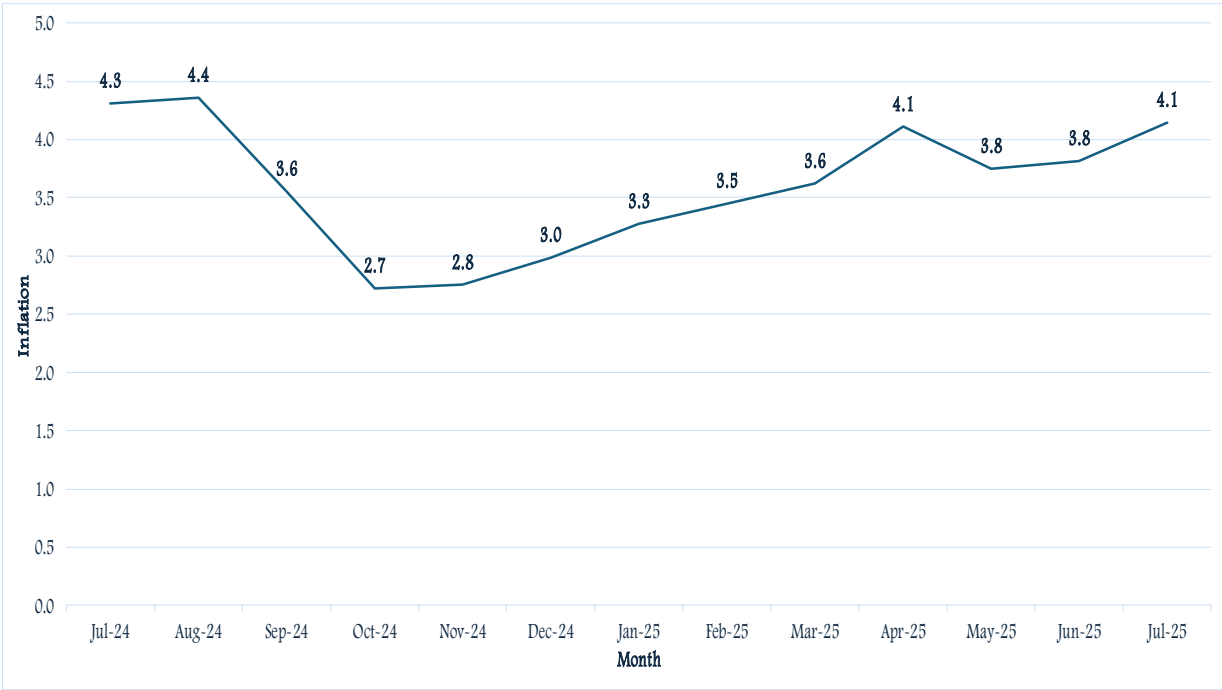


Figure 2: Inflation Trends, July 2024~ July 2025



Drivers of Inflation Change in July 2025

Table 1: One and Twelve-Month Percentage Changes in the Consumer Price Indices

13 COICOP Divisions	Weight %	% Change on last month (July 2025/ June 2025)	% Change on same month of the previous year (July 2025/ July 2024)
Food and Non-Alcoholic Beverages	32.9094	-0.3	6.8
Alcoholic Beverages, Tobacco and Narcotics	3.3289	0.3	5.1
Clothing and Footwear	2.9914	0.0	3.4
Housing, Water, Electricity, Gas and Other Fuels	14.6124	0.7	1.3
Furnishings, Household Equipment and Routine Household Maintenance	3.7372	0.2	2.5
Health	2.9116	0.1	3.5
Transport	9.6468	0.8	4.1
Information and Communication	7.7840	0.0	0.8
Recreation, Sport and Culture	1.7219	0.1	2.9
Education Services	5.5620	0.0	2.9
Restaurants and Accommodation Services	8.0991	0.1	3.2
Insurance and Financial Services	2.2423	0.0	0.9
Personal Care, Social Protection and Miscellaneous Goods and Services	4.4532	0.5	3.4
Total	100.0000	0.1	4.1

Figure 3: Percentage Changes in CPI Across the 13 Divisions, June 2025 ~ July 2025

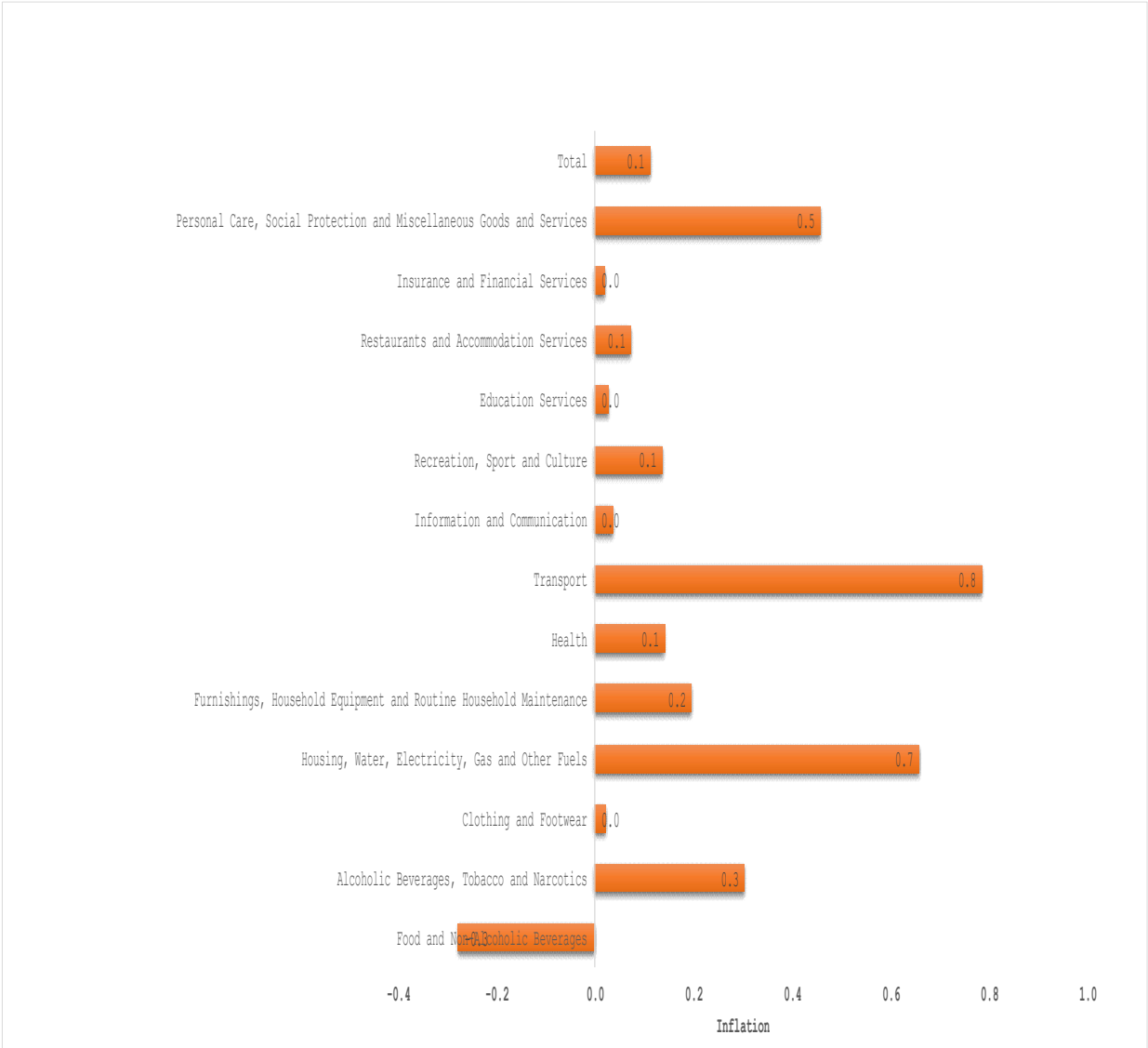


Figure 4: Percentage Changes in CPI Across the 13 Divisions, July 2024 – July 2025

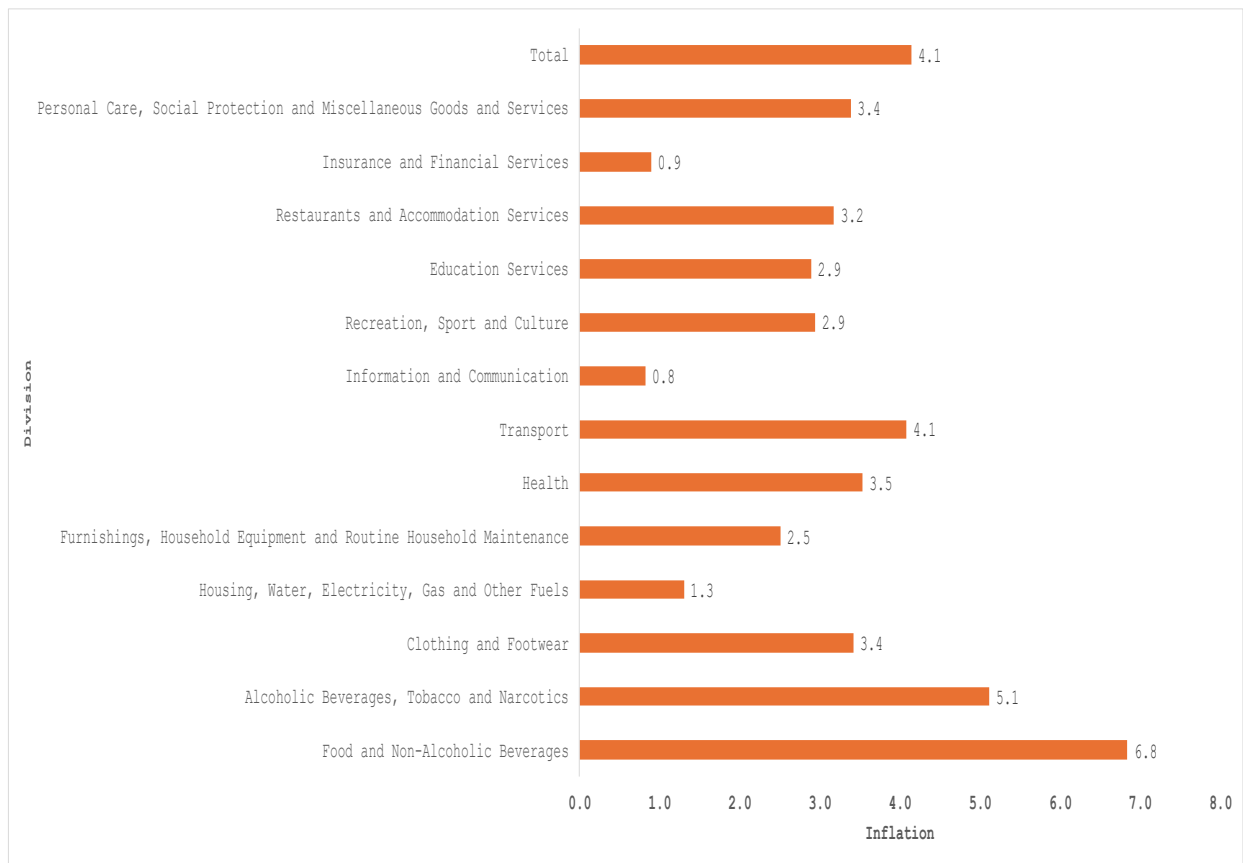


Table 2: Key Drivers for Inflation for each of the 13 Divisions

Key Drivers for Inflation in July 2025	
Monthly	Yearly
Food and Non-Alcoholic Beverages	
The Food and Non-Alcoholic Beverages monthly inflation stood at negative 0.3 per cent mainly due to decrease in prices of oranges (2.6%), irish potatoes (2.0%), cabbages (1.3%), carrots(0.7%), cooking oil (salad) (0.6%) and beans (0.5%). Conversely, prices of maize grain-loose (1.6 %), sugar (1.4%), kale-sukuma wiki (1.3%), tomatoes (1.2%) and maize grain(1.2%) dropped in July 2025.	Over the twelve months until July 2025, the Food and Non Alcoholic Beverages division price level rose by 6.8%.
Transport	
In July 2025, transport index inflation stood at 0.8 per cent. The upward movement of the inflation was mainly due to increase in prices of local flights, diesel and petrol by 8.6, 5.4 and 5.2 per cent, respectively. In contrast, city bus and regular matatu fares eased by 0.1 per cent and 0.2 per cent, respectively. Car for personal use inflation dropped to 0.5 per cent in the month of July 2025.	Over the twelve months until July 2025, the Transport division inflation rose to 4.1 per cent in July 2025 from 3.2 per cent in June 2025.
Housing, Water, Electricity, Gas and Other Fuels	
In July 2025, the Housing, Water, Electricity, Gas and Other Fuels Index recorded a monthly inflation of 0.7%, driven by sharp price fluctuations across various components. Kerosene/paraffin, which surged by 6.7%, exerting strong upward pressure on the index. Gas/LPG prices also rose moderately by 0.4%, while house rent for a single room recorded a minimal increase of 0.1%. In contrast, electricity costs showed mixed trends: electricity for 50 kWh rose by 0.6%, whereas electricity for 200 kWh declined by 1.4%, slightly offsetting the overall rise.	Over the twelve months until July 2025, the general price level for the division rose by 1.3 per cent.
Alcoholic Beverages, Tobacco and Narcotics	
In July 2025, the Alcoholic Beverages, Tobacco, and Narcotics Index recorded mixed inflation trends across its components. The price of wines registered the highest increase, rising by 2.1%, indicating a notable upward pressure on this category. Cigarettes and traditional beer followed with moderate increases of 0.7% and 0.6% respectively, while beer (lagers and stouts) rose slightly by 0.4%. Spirits recorded a marginal increase of 0.1%, suggesting relatively stable pricing in that category. Meanwhile, miraa (khat) prices remained unchanged.	Over the twelve months until July 2025, the Alcoholic Beverages, Tobacco and Narcotics division price level rose by 5.1%.
Clothing and Footwear	
In July 2025, the Clothing and Footwear Index recorded slight and mixed price movements across its components. Women's dresses increased by 0.1%, while boy's leather shoes saw a slightly higher rise of 0.3%. However, prices for boy's trousers and shorts declined marginally by 0.1%.	Over the twelve months until July 2025, the price level of clothing and footwear division rose by 3.4%.

Monthly	Yearly
Furnishings, Household Equipment and Routine Household Maintenance	
In July 2025, the Furnishings, Household Equipment and Routine Household Maintenance Index recorded a slight overall increase of 0.2%. Detergents experienced a notable price rise of 0.9 per cent, while laundry soap/bar soap prices rose by 0.4 per cent.	Over the twelve months until July 2025, the Furnishings, Household Equipment and Routine Household Maintenance division general price level rose by 2.5%
Health	
In July 2025, the Health Index recorded a month-on-month inflation of 0.1%, indicating relative price stability in the sector. The increase was mainly due to increase in prices of medicines for cholesterol and blood pressure which rose by 0.5%, the highest among the health-related items, while both medicines for diabetes and delivery charges increased by 0.3% each.	Over the twelve months until July 2025, the Health division price level rose by 3.5%
Information and Communication	
The Information and Communication almost remained unchanged between June 2025 and July 2025	The sector recorded a yearly inflation of 0.8%
Recreation, Sport and Culture	
In July 2025, the Recreation, Sport and Culture sector recorded a monthly inflation rate of 0.1%. Contributing to this were moderate increases in school textbooks for pre-primary and primary levels rising by 0.3%, and exercise books increasing by 0.2%.	Over the twelve months until July 2025, the Recreation, Sport and Culture division index rose by 2.9%
Education services	
In July 2025, the Education Index recorded a slight increase, primarily driven by a 0.3% rise in certificate course fees.	Over the twelve months until July 2025, the Education division index rose by 2.9%
Restaurants and Accommodation Services	
In July 2025, the Restaurants and Accommodation Services division recorded a monthly inflation rate of 0.1%, reflecting mixed price movements within the category. Prices for prepared foods in hotels and restaurants rose by 0.1%, while prepared food from cafés and take-aways increased by 0.2%, contributing to the overall inflation. However, this was partially offset by a 0.3% decline in lodging and guest accommodation expenses, which moderated the upward pressure.	Over the twelve months until July 2025, the Restaurants and Accommodation Services division index rose by 3.2%
Insurance and Financial Services	
Insurance and Financial Services remained unchanged between June 2025 and July 2025	Over the twelve months until July 2025, the price level for the Insurance and Financial Services division rose by 0.9%
Personal Care, Social Protection and Miscellaneous Goods and Services	
In July 2025, the Personal Care, Social Protection and Miscellaneous Goods and Services Index rose by 0.5%, largely driven by notable price increases in essential personal care items. Toothpaste and mouthwash recorded the highest rise at 1.7%, followed closely by toilet paper/tissue paper at 1.6%, and toilet soap at 1.1%	Over the twelve months until July 2025, the Personal Care, Social Protection and Miscellaneous Goods and Services division price level rose by 3.4%

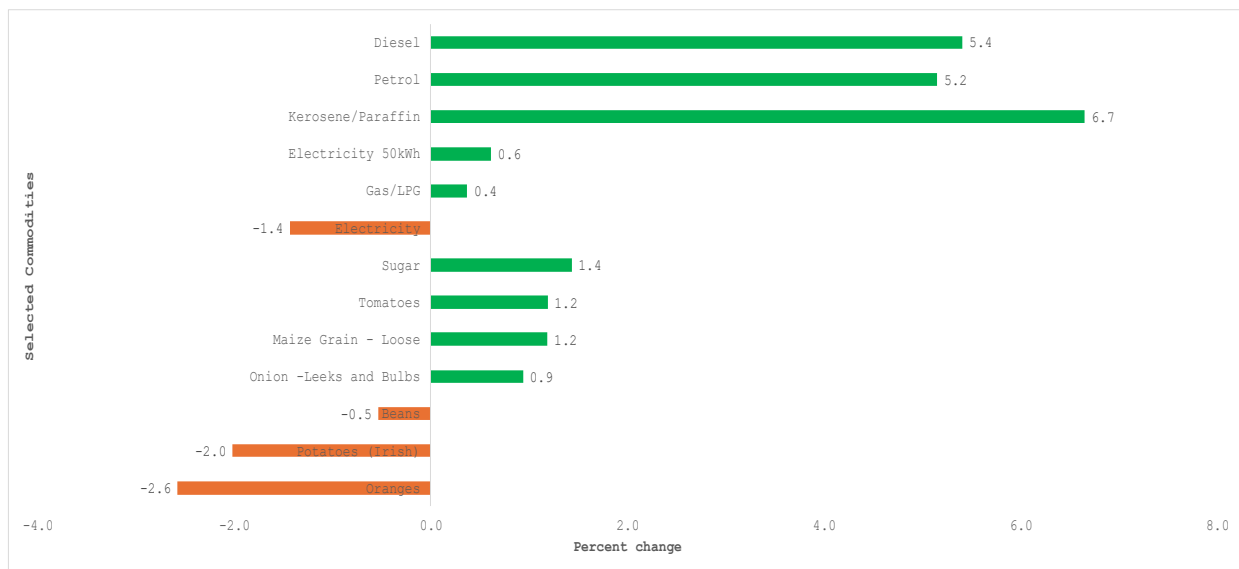
Movement of National Average Retail Prices of Selected commodities

Between June and July 2025, consumer prices for selected goods showed mixed trends. Kerosene/paraffin recorded the highest price increase, rising from KSh 147.92 to KSh 157.76 per litre, while petrol also went up from KSh 178.19 to KSh 187.37 per litre, indicating a notable rise in fuel costs. In contrast, electricity for 200 kWh decreased from KSh 5,738.52 to KSh 5,656.22 . In the food category, prices for oranges declined from KSh 108.51 to KSh 105.72 per kilogram.

Table 3: National Average Retail Prices of Selected Commodities

Commodity Name	Quantity	Unit of Measure	Average Price July 2024	Average Price June 2025	Average Price July 2025	% Change over last month July 2025/ June 2025	% Change over last year July 2025/ July 2024
Oranges	1	Kg	91.05	108.51	105.72	-2.6	16.1
Potatoes (Irish)	1	Kg	121.97	126.38	123.83	-2.0	1.5
Cabbages	1	Kg	78.42	85.10	83.98	-1.3	7.1
Carrots	1	Kg	108.87	128.97	128.08	-0.7	17.7
Cooking Oil (Salad)	1	Litre	328.73	347.17	345.03	-0.6	5.0
Beans	1	Kg	185.80	184.94	183.95	-0.5	-1.0
Fresh packeted cow milk	500	Milliliter	57.27	56.38	56.26	-0.2	-1.8
Beef - With Bones	1	Kg	631.45	690.15	693.85	0.5	9.9
Onion -Leeks and Bulbs	1	Kg	104.78	106.37	107.37	0.9	2.5
Maize Grain - Loose	1	Kg	60.16	70.40	71.24	1.2	18.4
Tomatoes	1	Kg	70.55	83.88	84.88	1.2	20.3
Kale-Sukuma Wiki	1	Kg	83.70	90.42	91.62	1.3	9.5
Sugar	1	Kg	164.42	184.13	186.78	1.4	13.6
Maize Flour - Loose	1	Kg	64.57	74.68	75.88	1.6	17.5
Electricity	200	kWh	5,663.40	5,738.52	5,656.22	-1.4	-0.1
House rent - single room	1	Month	4,108.91	4,176.85	4,179.89	0.1	1.7
Gas/LPG	13	Kg	3,219.58	3,134.91	3,146.58	0.4	-2.3
Electricity	50	kWh	1,262.18	1,280.96	1,288.82	0.6	2.1
Kerosene/Paraffin	1	Litre	162.52	147.92	157.76	6.7	-2.9
Petrol	1	Litre	189.46	178.19	187.37	5.2	-1.1
Diesel	1	Litre	172.33	163.89	172.75	5.4	0.2

Figure 5: Percentage Change Over Last Month, June 2025 ~ July 2025



Core and Non-Core Index and Inflation

Core inflation is a measure of inflation that is compiled from non-volatile commodities such as manufactured food items, health services, education services and ICT. Core inflation was 3.1 per cent in July 2025, as presented in Table 4. The core index increased from 129.47 in June 2025 to 129.59 in July 2025. Non-core inflation was 7.2 per cent during the same period.

Table 4: Core and Non-Core Index and Inflation

Period	Core index	Core Inflation	Non-Core index	Non-Core Inflation
Jul-24	125.66	2.2	197.48	10.8
Aug-24	125.80	2.2	195.90	10.3
Sept-24	125.88	2.0	196.87	7.7
Oct-24	126.20	1.8	197.36	5.1
Nov-24	126.76	2.1	197.51	4.6
Dec-24	127.50	2.2	198.51	4.9
Jan-25	127.77	2.0	202.87	6.8
Feb-25	128.01	1.9	204.01	7.7
Mar-25	128.35	2.2	205.55	7.4
Apr-25	128.48	2.5	206.86	8.4
May-25	128.97	2.8	209.35	6.0
Jun-25	129.47	3.0	211.24	6.2
Jul-25	129.59	3.1	211.69	7.2

Contribution of Core and Non-Core to the Overall Inflation

Contribution of core and non-core inflation to the overall inflation is presented in Table 5. Core inflation contributed 2.8 points while non-core contributed 1.3 points to the overall inflation in July 2025. Food and non-alcoholic beverages contributed 2.2 points to the overall inflation.

Table 5: Core and Non-Core Contributions, July 2025

Broad Categories	Core	Non Core	Total
Food and Non-Alcoholic Beverages	1.1	1.1	2.2
Alcoholic Beverages, Tobacco and Narcotics	0.2	0.0	0.2
Clothing and Footwear	0.2	0.0	0.2
Housing, Water, Electricity, Gas and Other Fuels	0.1	0.1	0.2
Furnishings, Household Equipment and Routine Household	0.2	0.0	0.2
Health	0.1	0.0	0.1
Transport	0.2	0.2	0.4
Information and Communication	0.1	0.0	0.1
Recreation, Sport and Culture	0.1	0.0	0.1
Education Services	0.2	0.0	0.2
Restaurants and Accommodation Services	0.3	0.0	0.3
Insurance and Financial Services	0.0	0.0	0.0
Personal Care, Social Protection and Miscellaneous Goods	0.2	0.0	0.2
Total	2.8	1.3	4.1



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